ZIMBABWE PLATINUM MINES (PVT) LTD
versus
ZIMBABWE REVENUE AUTHORITY

HIGH COURT OF ZIMBABWE
MANYANGADZE J
HARARE, 26 November 2024, 7 October 2025 & 28 January 2026

Opposed Application

T. Mpofu, for the applicant
S. Sibanda, for the respondent

MANYANGADZE J:

INTRODUCTION

This is an application for a declaratory order in which the applicant seeks the following relief:

> "1. The application succeeds.
>
> 2. The Finance Act 8 of 2020 (prior to the amendment by Finance Act 7 of 2021 effective from 1 January 2022) read with the Mines and Minerals Act makes a cleur distinction between a 'mineral' and a "mineral-bearing product and that no specific provision was made for payment of royalties on 'mineral-bearing products, including "Matte' and 'Concentrate,
>
> 2.1. Consequently, the Applicant is not liable to pay royalties to the Respondent on the Matte and Concentrate which the Applicant sold to Impala Platinurn Limited during the period 1 June 2018 to 31 December 2021
>
> 3. In the alternative it is ordered that:
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> 3.1.The purchase price, which was paid by Impala Platinum Limited to the Applicant, for Matte and Concentrate against which the applicable royalty rates were applied in calculating the royalties payable during the period 1 June 2018 to 31 December 2021, reflects the 'face value of the invoice as stated in section 37(2) of the Finance Act (Chapter 23:04)
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> 3.2. The purchase price, which was paid by Impala Platinum Limited to the Applicant, for Matte and Concentrate against which the applicable royalty rates were applied in calculating the royalties payable during the period 1 June 2018 to 31 December 2021, reflects the "gross fair market value" as stated in section 37(9) of the Finance Act (Chapter 23:04).
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> 3.3. The Applicant paid in full the royaltier due to the Respondent on the Matte and Concentrate which the Applicant sold to Impala Platinum Limited during the period 1 June 2018 to 31 December 2021.

4. The amount of the primary civil penalty under section 37(5) (which equals double the shortfall of the amount of the royalties payable) follows the interpretation of the legislation and the determination of the correct amount of royalties payable as set out in the declaratory relief sought above.

5. Any alternative/further relief as the Court may grant.

6. The Respondent be ordered to pay the costs of this application."

FACTUAL BACKGROUND

The applicant is a private company duly incorporated under the laws of Zimbabwe. It is in the business of mining and processing what are known as platinum group metals (Pgms) and base metals in the Ngezi and Selous areas, Zimbabwe.

The respondent is a statutory corporation established in terms of the Revenue Authority Act [*Chapter 23:11*]. It is responsible for assessing, collecting and accounting for revenue on behalf of the Government of Zimbabwe.

The applicant operated under a Special Mining Lease until 31 May 2018 when that lease expired. Thereafter, it moved to a General Mining Lease.

The applicant entered into an agreement with Impala for the exclusive supply of matte and concentrate. There was an understanding or acceptance between the two companies that matte and concentrate are not processed minerals. They are mineral-bearing products at intermediate stages of processing into minerals. In that form, they do not attract the market price of processed minerals.

The applicant paid a percentage of the value of the mineral to Impala, which was a fair market value of the mineral-bearing products. For matte, the applicant paid 90 % of the ruling market price for platinum. For concentrate, it paid 87.5 % of the ruling market price for platinum.

On 13 September 2018, the applicant received a letter from the respondent, in which the latter wanted confirmation that the applicant was computing royalties on the correct base. For the respondent, the correct base was the gross market value without deduction of any expenses. This query covered the period 1 June 2018 to date.

In its response, the applicant indicated it was deducting refinery or treatment costs. The respondent insisted that the amended s 37 of the Finance Act required computation of royalties based on the gross fair market value of the minerals without deduction of expenses.

There was a flurry of correspondence between mining houses and the respondent, leading to the suspension at some point, of the payment of royalties. This was to allow full consultation among all stake holders.

The said stakeholder consultations culminated in the promulgation of Finance Act No. 8 of 2020. Section 37 (9) of Finance Act 8/20 stipulated that royalties would be calculated based on the gross fair market value of the minerals, without taking into account any deductions for processing costs.

There were further consultations with mining companies, which included the applicant. The result was Finance Act No. 7 of 2021, which amended s 37. This amendment recognised the various stages of production, such as matte and concentrate, as a basis for computing royalties. The formula was with effect from 1 January 2022.

The respondent then took the position that for all the years prior to the said amendment, the computation of royalties was to be based on gross market value of the mineral, without consideration of intermediary stages of production such as matte and concentrate.

The respondent proceeded to compute royalty shortfalls for the applicant for the period 1 June 2018 to 31 December 2021. This was the period after the expiry of the Special Mining Lease, when applicant migrated to the General Mining Lease, up to the promulgation of Finance Act No. 7/21. The shortfalls were presented to the applicant on 10 June 2022. The total amount due and payable was **ZWL 2 032 517 190,25** (*two billion, thirty-two million five hundred and seventeen thousand one hundred and ninety Zimbabwean dollars twenty-five cents*) or **USD7 100 551, 79** (*seven million, one hundred thousand five hundred and fifty-one United States dollars seventy-nine cents*).

This triggered the dispute *in casu*, in which the applicant seeks an interpretation of the law that extinguishes the royalty shortfalls calculated by the respondent.

APPLICANT'S ARGUMENT

The applicant avers that there is a distinction between "minerals" and "mineral-bearing products". No royalty rates have been fixed for mineral-bearing products prior to 1 January 2022.

In the alternative, the applicant contends that royalties should be calculated on the face value of the invoice, and not on the gross market value of the refined mineral.

The applicant further avers that the gross fair market value of the minerals has already been determined in accordance with the transfer pricing regulations.

The applicant develops its argument by asserting that there is no definition of mineral-bearing products in the applicable legislation, being the Finance Act and the Mines and Minerals Act. The Finance Act only fixes rates for minerals. The respondent acknowledges this fact. The Finance Act clearly gives royalties for minerals and not matte and concentrate. The applicant points out that the basis for calculating royalties for matte and concentrate was included in the Finance Act, for the first time, with effect from 1 January 2022.

During the period in question, the applicant, in good faith, reasonably calculated royalties it paid to the respondent, despite the fact that there was no provision yet for payment of royalty on mineral bearing products like matte and concentrate.

The applicant explains that gross fair market value is the value of the product in its present state on the open market. This is the price at which Impala bought matte and concentrate, being the face value of the invoice. No deductions were made in respect of this price. It was the gross market value of the mineral-bearing product, not the value of the final refined mineral.

The applicant contends that s 37 (9) of the Finance Act, which does not allow for deduction of beneficiation costs, is not applicable to mineral-bearing products such as matte and concentrate. It applies only to minerals.

RESPONDENT'S ARGUMENT

The respondent uncompromisingly maintains its position that the applicant should pay royalties on the value of the final mineral product, without any deductions for intermediate processing like the production of matte and concentrate.

The respondent points out that the applicant acknowledges that it sells minerals, though not in their final refined form. Minerals attract royalties. In the calculation of gross fair market value, what is considered is just the mineral. Costs of beneficiation are not a factor. The Finance Act 8/20 did not take into account whether the minerals were unrefined or final. All were deemed to be minerals. Unprocessed minerals were deemed to be processed minerals. The respondent explains that the underlying rationale for this approach is to encourage local beneficiation.

The respondent avers that the amendment in Finance Act 7/21 only came into effect on 1 January 2022. It does not therefore apply to the period under review. The said amendment recognised the various stages of processing of some minerals.

The respondent contends that private arrangements between seller and buyer, such as the applicant entered into with Impala, are of no consequence to s 37 of the Finance Act. The Finance Act just recognises that the applicant is selling minerals. It is the mineral in the ore body or matte body or concentrate body that ought to be valued. The deduction for processing is what is proscribed by s 37 (9), before the 1 January 2022 amendment.

The respondent asserts that matte contains the mineral that is being sold, albeit with some impurities that will be removed at refining stage. The applicant was supposed to charge the full market price of a mineral and compute royalties based on the gross full market value of the mineral. There was nothing that ousted s 37 (9) from the applicant's sales.

The respondent further contends that it is not correct that the applicant had no obligation to pay royalties. It always had that obligation. The royalty was on the gross fair market value of the mineral. The methodology the applicant was using is what was then provided for with effect from January 2022. Before that, what the applicant was using was impermissible, hence the shortfalls in question.

THE LAW

This matter has no material disputes of fact. Its resolution turns on an interpretation of the applicable legislation. The parties have, in particular the applicant, cited numerous legislative provisions in the Mines and Minerals Act and the Finance Act. However, at the core of the dispute is the interpretation of s 37(2) and s 37 (9) of the Finance Act.

The issue is whether ss 37 (2) and 37 (9) of the Finance Act 8/20 include mineral-bearing products for purposes of calculating royalties. Section 37 (2) provides:

> "1.With effect from the 1st January, 2010, and every subsequent year of assessment, the following persons shall, as agents for and on behalf of the Commissioner-General of the Zimbabwe Revenue Authority, **deduct royalty on the following minerals at source, based on the face value of the invoice therefor**—
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> (a) in respect of precious stones, precious metals (other than gold), base metals, industrial metals, coalbed methane and coal, the Minerals Marketing Corporation established in terms of the Minerals Marketing Corporation Act [*Chapter 21:04*], any person authorised by the Minerals Marketing Corporation to export such minerals in its own right;

> (b) in respect of gold, the Minerals Marketing Corporation established in terms of the Minerals Marketing Corporation Act [*Chapter 21:04*], any person authorised by the Minerals Marketing Corporation to export gold in its own right and every financial institution." (underlining added for emphasis)

Section 37 (9) of the same Act reads as follows:

> "For the avoidance of doubt it is declared that, in calculating **the gross fair market value of a mineral** on the basis of which royalty is deducted for the purposes of this Chapter, no deduction shall be made of beneficiation, processing or other costs whatsoever incurred in the **production of the mineral** concerned." (underlining added for emphasis)

The cardinal rule in the interpretation of statutes is that words in the statute must be given their ordinary grammatical meaning, unless this would lead to an absurdity. This point has been underscored in numerous cases. See *Chegutu Municipality v Manyora* 1996 (1) ZLR 262 at p264D-E (S), *Madoda* v *Tanganda Tea Company Ltd* 1999 (1) ZLR 374, *ZIMRA & Anor* v *Marowa Diamonds (Pvt) Ltd* 2009 (2) ZLR 213 (S), *Endeavour Foundation & Anor v Commissioner of* Taxes 1995 (1) ZLR (S) at p 356 F-G.

The often-quoted authority on this approach is the case of *Chegutu Municipality* v *Manyora* 1996 (1) ZLR 262, *supra.* MCNALLY JA stated, at p 264 D-E:

> "There is no magic about interpretation. Words must be taken in their context. The grammatical and ordinary sense of the words is to be adhered to, as Lord Wensleydale said in Grey v Pearson (1857) 10 ER 1216 at 1234, 'unless that would lead to some absurdity, or some repugnance or inconsistency with the rest of the instrument, in which case the grammatical and ordinary sense of the words may be modified so as to avoid that absurdity and inconsistency, but no further."

The applicant referred to the case of *J Mawarire* v *Robert Mugabe & Ors* CCZ 1/13 where it was stated that there are two approaches open to the court when faced with apparent absurdities in the construction of statutes. The narrow approach and the wider approach. In explaining the narrow approach, the Constitutional Court referred to the English case of *The Queen* v *Judge of the City of London Court* [1892] QBD 273, where it was stated:

> "….if the words of an Act admit of two interpretations, then they are not clear: and if one interpretation leads to an absurdity, and the other does not, the court will conclude the legislature did not intend to lead to an absurdity, and will adopt the other interpretation."

The respondent referred to the case of *Endeavour Foundation & Anor v Commissioner of Taxes* 1995 (1) ZLR 339 (S) where it was stated:

> "The general principle of interpretation is that the ordinary, plain literal meaning of the word or expression, that is, as popularly understood to be adopted, unless that meaning is at variance with the intention of the legislature as shown by the content or such other indicia as the court is justified in taking into account, or creates an anomaly or otherwise produces an irrational result."

It seems to me that the starting point has always been a consideration of the ordinary, grammatical meaning of the words in the statute concerned. It is only when there are clearly discernible ambiguities or absurdities that the court may depart from the ordinary meaning. It then moves from the narrow approach to the wider approach. In doing so, it looks at the context and purpose of the legislation, as explained by the Constitutional Court in the *Mawarire* case, *supra*. This is the wider, purposive approach.

In describing the purposive rule of interpretation, the author G. Devenish states in his book, *Interpretation of Statutes* (Juta 1992) at p 33:

> "The purposive approach requires that interpretation should not depend exclusively on the literal meaning of the words according to the semantic and grammatical analysis…..The interpreter must endeavour to infer the design or purpose of which lies behind the legislation. In order to do this, the interpreter should make use of an unqualified contextual approach, which allows an unconditional examination of all internal and external sources….words should only be given ordinary grammatical meaning if such meaning is compatible with their complete context."

In *Afrochine Smelting (Pvt) Ltd* v *The Zimbabwe Revenue Authority* HH 83/24, MUCHAWA J derived contextual meaning from the Minister's budget statement. The learned judge stated, at p 10:

> "The external context commended to the court for consideration is the Minister's budget statement of 2019. He said:
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> > "In order to ensure uniformity in the assessment of mineral royalty payments and also to promote equal treatment of mining companies, it is affirmed that no beneficiation or processing costs are deductible from the gross mineral proceeds when calculating mineral royalty payments. Such costs will only be deductible when taxpayers are self-assessing for taxable income."
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> It is contended that if the self-assessments by the applicant are upheld, then the same distortions caused by production and beneficiation costs would arise. The intention of the legislature to ensure uniformity would fall by the wayside. This is because the miner's distribution costs may differ. The Minister's statement is said to give clear recourse in claiming a deduction when claiming income tax liability at the end of the year.

> In this case, it was concluded that the applicant had erred by excluding the cost of freight from the invoice value.
> Section 37(9) of the Finance Act provides as follows:
> "For the avoidance of doubt, it is declared that, in calculating the gross fair market value of a mineral on the basis of which royalty is deducted for the purposes of this chapter, no deduction shall be made of beneficiation, processing or other costs whatsoever incurred in the production of the mineral concerned."
>
> I am persuaded by the respondent's argument that I should use a purposive approach in my interpretation of this statute. It is the State's intention to recoup royalties from the gross fair market value in order to realize the maximum possible and ensure uniformity on royalties levied across different mining institutions for similar products. This was clearly stated by the Minister in his budget statement."'

I am inclined to adopt the narrow approach, *where royalties for mineral-bearing products are concerned*. The above-cited legislative provisions mention calculation of royalties using the gross fair market value of the mineral. They do not refer to mineral-bearing products. That is the clear meaning conveyed by the words in the statutory provisions. There is no ambiguity or absurdity. Minerals and mineral-bearing products do not have the same fair market value, as the latter still require refining to produce the final mineral.

I further take the view that even if the wider, purposive approach is adopted, it leads to the same conclusion. It cannot be reasonably inferred that the legislature intended to bunch mineral-bearing products and refined minerals under the same royalty rate. Indeed, the legislature subsequently clarified that by the amendment in Finance Act No. 7 of 2021, which recognises the various stages of beneficiation in the computation of royalties.

It is therefore my considered view that matte and concentrate, as mineral-bearing products, cannot attract the same royalties as minerals that have gone through the refinery process.

In any case, during the period in question, there were no royalty rates fixed by the Minister for mineral-bearing products.

I find that the applicant has satisfied the court that s 37 of Finance Act, as amended in 2020, does not provide calculation for mineral-bearing products. It only provides calculation for minerals. There is therefore no legal basis for the levying of royalties on mineral-bearing products during the period where no rate was fixed for mineral-bearing products.

SUPPLEMENTARY SUBMISSIONS

There was a development in the law, in 2025, after judgment was initially reserved in November 2024. The respondent applied for, and was granted, leave to file supplementary heads of argument. In response thereto, the applicant also filed supplementary heads of argument.

Respondent's supplementary submissions

The respondent has referred the court to the recent amendment to s 36 of the Finance Act, which removes the distinction between minerals and mineral-bearing products. The amendment has retrospective application dating back to 2010. It reads:

> "With effect from the 1st January, 2010, section 36 of the Finance Act [Chapter 23:04] is amended by the insertion of the following paragraph after paragraph
>
> (e)-
>
> "(f) "mineral" includes mineral ore and mineral-bearing products (the Minister may, after consulting the Minister responsible for mining, declare by notice in a statutory instrument any substance occurring naturally in or on the earth, which has been formed by or subjected to a geological process, to be mineral for the purposes of this Chapter)."

The respondent contends that this amendment puts paid the applicant's contention that it is not obliged to pay royalties on matte and concentrate as they are mineral-bearing products and were not included in the Finance Act.

The retrospective inclusion of mineral-bearing products means that the applicant is under an obligation to pay royalties covering the period in question. It must therefore pay royalty shortfalls assessed by the respondent.

The gravamen of the respondent's averment is reflected in paragraph 11 and 12 of its supplementary heads of argument, wherein is stated:

> "11. In the main, the Applicant contended that it was not liable to pay royalties on matte and concentrate it won and sold during the period June 2018 to December 2021 because the law only obliged it to pay royalties on minerals and not mineral bearing products. On the other hand, Respondent argued that the definition of minerals included mineral bearing products.
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> 12. The amendment effectively confirms that for purposes of the payment of royalties, the reference to "minerals" in the FA is in fact a reference to both "minerals" and "mineral bearing products." If that is the case, then Applicant was obliged to pay royalties on the matte and concentrate won and sold during the relevant period. Consequently, no case can be made for a declaratory order in the terms sought by the Applicant."

The applicant's supplementary submissions

The applicant avers that the amendment does not assist the respondent. At most, it dismisses the argument that matte and concentrate are not minerals.

The applicant concedes that the new definition of mineral in the Finance Act includes mineral-bearing products.

The applicant, however, contends that there is no mineral rate yet that includes matte and concentrate in Schedule VII of the Finance Act. Matte and concentrate are not individual mineral products like platinum, silver and gold which are covered by the rates specified in the Schedule. There is no umbrella mineral royalty rate that includes matte and concentrate.

So, the amendment is irrelevant as long as it does not fix a rate. Without that rate, the respondent cannot charge royalties.

The applicant further contends that the respondent cannot impose an obligation that previously did not exist.

The applicant referred the court to the recent case of *ZIMRA* v *ZIMASCO (Pvt) Ltd* SC 79/13. In that case, the Supreme Court of Zimbabwe upheld the High Court's ruling that ZIMASCO (Private) Limited is not liable to pay mining royalties on chrome ore concentrates and ferrochrome, as these products were classified as mineral-bearing products exempt from royalties prior to January 2022. The court found that the Finance Act did not impose royalty rates on mineral-bearing products during the relevant period and emphasized the distinction between minerals and mineral-bearing products.

RESOLUTION

It seems to me that this dispute is resolved by the Supreme Court case referred to i.e. *ZIMRA v ZIMASCO, supra*. It is on all fours with the instant case, the only difference being that the substances involved were ferrochrome and chrome ore concentrate. The court remarked, at p 8, paragraph [18]:

> "At the heart of the dispute is the legal characterisation of ferrochrome and chrome ore concentrate and the scope of royalty obligations under the governing statutory framework."

Similar remarks can be made about the instant matter, where royalty obligations for matte and concentrate are at the heart of the dispute.

The Supreme Court emphasised the importance of an applicable royalty rate. It made it clear no obligation for royalty levies for ferrochrome and chrome ore could be imposed without a fixed rate within the framework of Chapter VII of the Finance Act. MUSAKWA JA stated, at p 10, paragraph [22]:

> "While the Mines and Minerals Act sets out the power to levy royalties, it is Chapter VII of the Finance Act that constitutes the charging framework. Without a prescribed rate fixed in the Schedule to that Chapter, no fiscal obligation could lawfully arise."

The learned judge of appeal went on to highlight the principle of certainty and clarity in tax obligations, at p 10, paragraph [23]:

> "In matters of taxation and fiscal obligations, it is a fundamental principle that no tax or royalty can be imposed without clear and express statutory authority. This accords with what was held in *R v Board of Inland Revenue, ex parte MFK Underwriting Agencies Ltd & Ors* [1990] 1 AB ER 91; that a tax payer expects to be taxed according to law. This principle ensures that the power of the State to demand money from individuals ir entities is exercised strictly in accordance with the law. For a royalty obligation to be legally enforceable, the relevant statute or statutory instrument must explicitly identify the subject of the royalty and prescribe the precise rate or a clear mechanism for determining that rate. Without such clarity, the obligation cannot arise. Courts consistently apply a strict interpretation of fiscal legislation. This means that any ambiguity or silence in the legislation must be resolved in favour of the taxpayer rather than the taxing authority. If the statutory instrument, such as the Schedule to the Finance Act, prescribes royalty rates for "minerals" but is silent on "mineral-bearing products," the omission cannot be treated as an oversight or filled by inference. Instead, it signifies that no royalty is owed on those mineral-bearing products during the period in question. The enabling legislation, like the Mines and Minerals Act, nay provide the general power to levy royalties, but the actual imposition of a royalty must come from a specific and clear legislative instrument that fixes the rates. If such a charging provision does not prescribe a nine for a particular category, no fiscal obligation exists for that category."

Significantly, the court also clarified the aspect of retrospectivity in the following terms, at pp 11-12, paragraphs [27-28]:

> "[27] Additionally, the Finance (No. 2) Act, 2024 retrospectively amended the definition of "mineral" to include mineral-bearing products with effect from 1 January 2010. However, this definition, even if framed as retrospective, cannot substitute for the absence of a fixed royalty rate. In tax law, liability arises not merely from definitional inclusions but from clearly articulated charging provisions. As no rate had been fixed for such products in the Schedule at the relevant time, the retrospective amendment cannot impose an obligation that did not previously exist.
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> [28] This Court reiterates that in fiscal matters, clarity and specificity are paramount. The statutory framework must be read as a whole. Liability to remit royalties must rest on a clearly prescribed rate in an effective charging provision. In this case, that requirement was not met during the period in question. As emphasised in Zimbabwe Revenue Authority v Murowa Diamonds (Pvt) Ltd SC 85/23 p 14:
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> > "In the Zimbabwean context, a mineral royalty payable in terms of s 244 of the Mines and Minerals Act constitutes a fee paid by the holder of a mining

> right to the mining commissioner for the right to dispose the mineral resources from a mining location. The royalty is payable on the value (ad valorem) of the mineral resources extracted from the mining location."
>
> 29] Tax and royalty obligations are statutory in nature and cannot arise by inference or implication. The strict construction rule mandates that any ambiguity or silence in the taxing statute must be resolved in favour of the taxpayer. This is a long-settled principle in Zimbabwean tax law: where there is clear language in a taxing statute, the Court is not at liberty to depart from the ordinary meaning under the guise of avoiding absurdity."

It is clear the Supreme Court dealt with all the issues affecting the instant matter. The products in that matter, ferrochrome and chrome ore, were not final refined minerals, just like matte and concentrate *in casu*. They are at intermediary stages of beneficiation. During a specified period, the fiscal authorities had no royalty rate fixed for these products. They are categorised as mineral-bearing products. It is only with effect from 1 January 2022, through Finance Act No. 7 of 2021, that royalty rates recognising such categories were determined.

Tellingly, the respondent made no comment on the cited Supreme Court judgment during oral argument on the parties' supplementary submissions. There is no basis on which to distinguish the facts and issues dealt with in that case from those obtaining *in casu*. In fact, it is difficult to understand why the respondent persisted with its argument in the face of the clear and authoritatively binding Supreme Court decision.

DISPOSITION

In the circumstances, the application must succeed. It is noted that the applicant's draft order contains relief in two forms, the main and alternative relief. For the reasons stated above, the court grants the main relief.

In the result, it is ordered that:

1. The application succeeds.

2. The Finance Act 8 of 2020 (prior to the amendment by Finance Act 7 of 2021 effective from 1 January 2022) read with the Mines and Minerals Act makes a clear distinction between a 'mineral' and a "mineral-bearing product and that no specific provision was made for payment of royalties on 'mineral-bearing products, including "Matte' and 'Concentrate,

2.1. Consequently, the Applicant is not liable to pay royalties to the Respondent on the Matte and Concentrate which the Applicant sold to Impala Platinurn Limited during the period 1 June 2018 to 31 December 2021.

MANYANGADZE J:……..

Maguchu & Muchada, applicant's legal practitioners
ZIMRA Legal Services Division, respondent's legal practitioners